

26STCV08984 26STCV08984

County: los-angeles

Division: Civil Law and Motion

Department: 316

Hearing date: 2026-09-14

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C316%2C09%2F14%2F2026

Source SHA-256: 08e96738b03e39b6ed53a2f096ece2780f4760f60bcb532a79bb50bae800d78e

Case Number: 26STCV08984 Hearing Date: September 14, 2026 Dept: 316

BACKGROUND

This case arises from the improper use of an individual's name, image, and identity. Plaintiff James Burton, Jr. was employed by Defendants Farmers Insurance Exchange and Farmers Financial Solutions, LLC as an insurance and financial services professional. Once Plaintiff's employment ended, however, Defendants allegedly continued identifying Plaintiff as an active representative on documents and client communications.

On March 19, 2026, Plaintiff filed a complaint against Defendants. The complaint alleges eight causes of action stemming from the facts alleged above.

On July 9, 2026, Defendant Farmers Financial Solutions ("Defendant") filed a Motion for Leave to File Cross-Complaint.

On August 20, 2026, Plaintiff filed an opposition.

On September 4, 2026, Defendant filed a reply.

TENTATIVE RULING

Defendant's Motion for Leave to File Cross-Complaint is GRANTED.

LEGAL STANDARD

“A party shall file a cross-complaint against any of the parties who filed the complaint or cross-complaint against him or her before or at the same time as the answer to the complaint or cross-complaint.” (Code Civ. Proc., § 428.50(a).) “A party shall obtain leave of court to file any cross-complaint except one filed within the time specified in subdivision (a) or (b). Leave may be granted in the interest of justice at any time during the course of the action. (Id., § 428.50(c).)

“A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave to amend his pleading, or to file a cross-complaint, to assert such cause at any time during the course of the action.” (Code Civ. Proc., § 426.50.) “The court, after notice to the adverse party, shall grant . . . leave to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith. This subdivision shall be liberally construed to avoid forfeiture of causes of action.” (Ibid.)

DISCUSSION

Defendant provided a copy of its proposed cross-complaint (See Inouye Decl., Exh. A.) Defendant also provided a supporting declaration. This declaration states that Defendant's cross-complaint seeks indemnity from Plaintiff for the cost of resolving two separate matters that were in arbitration. (See id. at ¶¶ 9-11.) Defendant reached out to Plaintiff to attempt to stipulate to the filing of the cross-complaint. (See id. at ¶ 14.) Plaintiff refused. (See *ibid.*)

The Court does not find any basis to doubt that Defendant acted in good faith. In light of the liberal allowance of cross-complaints to avoid forfeiture of causes of action and decide them on the merits, and the early stage of case and lack of any prejudice due to the delay, the Court will grant the motion.

CONCLUSION

For the foregoing reasons,
Defendant's Motion for Leave to File Cross-Complaint is GRANTED.

Defendant is ordered
to file and serve the proposed cross-complaint. Plaintiff will then have thirty
days to respond. At Plaintiff's request,
the Court clarifies that this ruling is not a ruling on the merits of any of
Defendant's cross-claims or on whether those claims are subject to arbitration.